

HOUSE BILL 987

By Williams

AN ACT to amend Tennessee Code Annotated, Title 67,
Chapter 4, relative to heated tobacco products.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 67-4-1001(2), is amended by deleting the subsection and substituting instead the following:

(2)

(A) "Cigarette" or "cigarettes" means and includes all rolled, shredded, or cut tobacco, or any substitute therefor, wrapped in paper, or substitute therefor, and all rolled, shredded or cut tobacco, or any substitute therefor, wrapped in homogenized tobacco wrapper, and being within customary cigarette sizes and marketed in cigarette type packages;

(B) "Cigarette" includes any cigarette produced by a cigarette rolling machine at a retail establishment;

(C) "Cigarette" includes a "heated tobacco product"; and

(D) "Cigarette" does not include smokeless nicotine products;

SECTION 2. Tennessee Code Annotated, Section 67-4-1001, is amended by adding the following new subdivision:

() "Heated tobacco product" means a product containing tobacco that produces an inhalable aerosol:

(i) By heating the tobacco by means of a device without combustion of the tobacco; or

(ii) By heat generated from a combustion source that only or primarily heats rather than burns the tobacco;

SECTION 3. Tennessee Code Annotated, Section 67-4-1004, is amended by deleting the section and substituting instead the following:

(a) Except as otherwise provided in subsection (e), the rate shall be three cents (3¢) on each cigarette.

(b) In addition to the tax provided in subsection (a), every dealer or distributor of tobacco products defined in this part shall pay an enforcement and administration fee to the department of five hundredths of a cent (0.05¢) per pack of cigarettes for sale in Tennessee. The fee shall be collected from each dealer or distributor upon the purchase of tobacco tax stamps from the commissioner.

(c) Any wholesale dealers, jobbers, tobacco distributors, and retail dealers having cigarette tax stamps, affixed and unaffixed, in their possession on July 1, 2007, shall not be required to pay the additional cigarette tax on the stamps resulting from the increase in the tax rate from ten (10) mills to three cents (3¢) on cigarettes bearing the stamps.

(d)

(1) In addition to the tax provided in subsection (a), there shall be levied an additional one-tenth of one cent (0.1¢) on each cigarette.

(2) Any wholesale dealers, jobbers, tobacco distributors, and retail dealers having cigarette tax stamps, affixed and unaffixed, in their possession on July 1, 2007, shall not be required to pay the additional cigarette tax on the stamps resulting from the increase in the tax rate of one-tenth of one cent (0.1¢) on cigarettes bearing the stamps.

(e) For each cigarette that is a heated tobacco product, the tax rate shall be fifteen hundredths of one cent (0.15¢) on each such cigarette that is a heated tobacco product. Subsection (a) does not apply to cigarettes subject to tax under this subsection (e).

SECTION 4. This act takes effect upon becoming a law, the public welfare requiring it.